PAPER 3: TAXATION (100 MARKS)

SECTION A: INCOME TAX LAW (50 MARKS)

Objective

a To develop an understanding of the provisions of income-tax law.

b To acquire the ability to apply such provisions to solve problems and address application oriented issues.

Contents

1 Basic Concepts:

i Income-tax law: An introduction
ii Significant concepts in income-tax law, including person, assessee, previous year, assessment year, income, agricultural income
iii Basis of Charge
iv Procedure for computation of total income and tax payable in case of individuals

2 Residential status and scope of total income:

i Residential status
ii Scope of total income

3 Heads of income and the provisions governing computation of income under different heads:

i Salaries
ii Income from house property
iii Profits and gains of business or profession
iv Capital gains
v Income from other sources

4 Provisions relating to clubbing of income, set-off or carry forward and set-off of losses, deductions from gross total income.

5 Advance Tax, Tax deduction at source and tax collection at source.

6 Provisions for filing return of income and self-assessment.

7 Computation of total income and income-tax payable by an individual under the alternative tax regimes under the Income-tax Act, 1961 to optimise tax liability.

Note: *If any new legislation(s) are enacted in place of an existing legislation(s), the syllabus will accordingly include the corresponding provisions of such new legislation(s) in place of the existing legislation(s) with effect from the date to be notified by the Institute. Similarly, if any existing legislation(s) on income tax law ceases to be in force, the syllabus will accordingly exclude such legislation(s) with effect from the date to be notified by the Institute.*

Further, the specific inclusion(s)/exclusion(s) in any topic covered in the syllabus will be effected by way of Study Guidelines every year, if required. Specific inclusions/exclusions in a topic may also arise due to additions/deletions made every year by the Annual Finance Act.